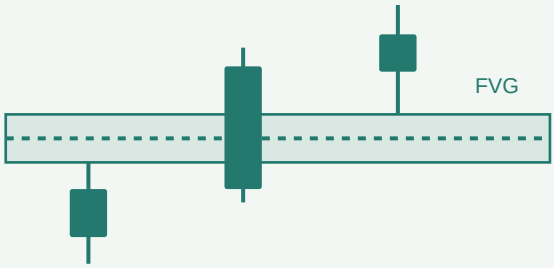
ICT/SMC Glossary & Cheat Sheet

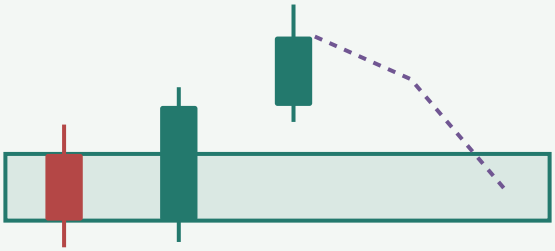
A compact guide to observable definitions. Schematics are not trading signals, guarantees or evidence of institutional intent.

Fair value gap (FVG)



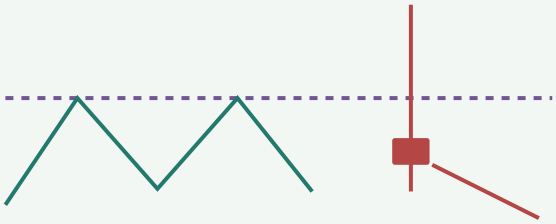
A three-candle relationship: bullish when candle 1 high is below candle 3 low; bearish uses the opposite non-overlap.

Order block (OB)



A selected reference candle or candle group associated with a subsequent move. Candle prices do not disclose an institution’s inventory.

Liquidity sweep



An excursion beyond a selected high or low. A return inside is one observed outcome, not a guaranteed reversal.

Original notes and diagrams. Full definitions continue on the next pages.

The glossary

Liquidity

The ability to trade quantity with limited price impact. A chart does not reveal all resting orders.

Buy-side / sell-side liquidity

ICT reference areas above highs or below lows where stops may cluster. Actual stop quantities are not observable from candles.

Liquidity sweep

An excursion beyond a selected high or low. A return inside is one observed outcome, not a guaranteed reversal.

Displacement

A relatively large directional candle body or move, judged against a stated context. It does not identify institutional participants.

Swing high / low

A local price extreme defined by a chosen neighboring-candle convention. The timeframe and confirmation rule matter.

Break of structure (BOS)

A break of a predefined swing reference under the study’s chosen close or wick rule. Continuation remains uncertain.

Market structure shift (MSS)

A contextual change through a chosen internal swing, often combined with displacement. It is a study convention, not a verified forecast.

Fair value gap (FVG)

A three-candle relationship: bullish when candle 1 high is below candle 3 low; bearish uses the opposite non-overlap.

Consequent encroachment (CE)

The midpoint of the chosen FVG boundaries: (upper + lower) / 2. Arithmetic does not guarantee a reaction.

Inverse FVG (IFVG)

A proposed change of role after price crosses a previously defined FVG. The crossing and retest rules must be specified.

The glossary

Order block (OB)

A selected reference candle or candle group associated with a subsequent move. Candle prices do not disclose an institution’s inventory.

Mitigation

A framework interpretation of a revisit to a selected reference area. The revisit can fail; institutional intent is not directly measured.

Premium / discount

Locations above or below the midpoint of a selected dealing range. Changing the range changes the classification.

SMT divergence

A difference between corresponding swings in related instruments, aligned by time. Divergence alone is not an entry instruction.

R (initial risk unit)

The planned price distance from entry to stop, adjusted for position size when expressed as money. Actual loss may exceed 1R.

Reward-to-risk ratio

Planned target distance divided by initial stop distance. A larger ratio does not establish a higher probability of profit.

Drawdown

The decline from an earlier equity peak. Always specify whether it is measured in money, percent or cumulative R.

Backtest

An evaluation of explicit rules on historical data available at each decision. Costs, execution assumptions and unseen samples matter.

Open interest

Outstanding futures contracts, counting one side of each contract. Every contract has both a buyer and a seller.

COT report

Delayed futures positioning by reporting category. A snapshot date differs from publication; net positioning alone does not predict the next move.

Before you mark a setup

- [ ] Which instrument, timeframe and session am I observing?
- [ ] Which prices and reference boundaries were known at this moment?
- [ ] What exactly qualifies the setup, and what would invalidate it?
- [ ] What are the entry, stop, target, costs and maximum planned loss?
- [ ] What would a failure or no-trade example look like?
- [ ] Am I checking unseen examples, or repeatedly tuning to the same sample?

Illustrative risk arithmetic

LONG: Entry 100 | Stop 98 | Target 104

Planned risk = 2 points. Planned reward = 4 points. Ratio = 2R.

At 0.05R cost: target +1.95R, stop -1.05R before extra slippage.

Fictional arithmetic only. Gaps and slippage can increase the loss at a real stop.

Sources and interpretation

Official ICT teaching channel
https://www.youtube.com/innercircletrader

CFTC: COT explanatory notes
https://www.cftc.gov/MarketReports/CommitmentsofTraders/ExplanatoryNotes/index.htm

CME Group: open interest
https://www.cmegroup.com/education/courses/introduction-to-futures/open-interest.html

LearnSMC: reviewed curriculum sources and limits
https://learnsmc.xyz/curriculum/mentorships/